

b.

Short-term borrowings (including current maturities)/FCF

This shows how many times FCF will be required to repay the entire short-term borrowings. This shows if the company uses entire Free cash flow to repay short term debt, how many years should it take for the company to repay the same. The lower the number, the better it is.

We can see that the number for Pidilite Industries is relatively low (below 100% in all years). This means that the company can completely repay its short-term borrowings with the help of free cash flow. Moreover, it can repay the loan in any given year with single year free cash flow. Thus, short term debt is under control for the company.



Short term borrowings						
WACC for short term borrowings and repayment terms						
Short term borrowings(including current maturities)/ FCF	17.89%	-108.82%	13.82%	30.93%	10.42%	-68.23%
EBIT/ Interest costs	81.0	82.2	78.5	47.5	41.3	40.0

Companies with high short-term borrowings (including current maturities)/ FCF at around 500 percent, 800 percent, etc., cannot easily repay the borrowings with the help of FCF. For example, if the ratio is around 100%, it will take ten years of free cash flow to pay off the borrowings. Also, the interest gets added up every year.

However, we will evaluate this along with long term debt and assets that the company has going ahead to get a complete understanding of company's health.